

Sample Claims Documentation & Billing Variance Review Policy

Policy ID	DEMO-AUD-001	Version	1.0
Effective Date	Demo Only	Owner	Audit Operations - Sample
Classification	Synthetic Training Content	Review Cycle	Not Applicable

Important: This document is intentionally fictional and is provided only to test retrieval-augmented generation (RAG), document chunking, search, citations, and audit-assistant workflows. Thresholds and procedures are illustrative and are not payer, coding, regulatory, or clinical guidance.

1. Purpose

This synthetic policy defines a sample workflow for reviewing claims that show material differences between billed and allowed amounts. It is designed to provide clear retrieval targets for a RAG-enabled audit assistant and to demonstrate how claim-level findings can be grounded in reference documents.

2. Scope

- Applies only to synthetic or properly de-identified claim records used in the demo environment.
- Covers billed amount, allowed amount, financial variance, billed-to-allowed ratio, and supporting documentation review.
- Does not define medical necessity, coding correctness, claim adjudication, or payment policy.

3. Key Terms

Term	Demo Definition
Billed Amount	The amount submitted on the claim record in the synthetic dataset.
Allowed Amount	The reference amount available in the synthetic dataset for comparison.
Financial Variance	Billed amount minus allowed amount.
Billed-to-Allowed Ratio	Billed amount divided by allowed amount when the allowed amount is non-zero.
Review Signal	A condition that prioritizes human review. It is not a final finding or determination.

4. Illustrative Review Triggers

The following thresholds are intentionally simplified for the demo. They are not real billing or payer thresholds.

Demo Trigger	Indicator	Expected Review	Disposition
Billed amount > 2x allowed amount	Large billed-to-allowed difference	Review billing justification and available supporting documentation.	Human review required
Variance > \$500	Material financial variance for demo prioritization	Compare the claim with similar records and supporting documentation.	Human review required
Billed-to-allowed ratio is an IQR outlier	Statistical pattern differs from the current dataset	Review the ratio in context; do not treat the outlier as proof of an error.	Human review required

5. Documentation Review Expectations

1. Confirm that the claim record used by the audit tool matches the source record available to the reviewer.
2. Review supporting documentation that explains the billed amount, units, procedure, or service context when available.
3. Compare the billed and allowed values with similar synthetic claims or approved reference patterns available to the demo.
4. Document the reviewer rationale separately from AI-generated summaries.
5. Do not use an anomaly or variance alone to conclude that a claim is improper.

6. Escalation Criteria

- Escalate when multiple independent review signals are present and the financial variance is material.
- Escalate when required supporting documentation is unavailable or internally inconsistent.
- Escalate when a reviewer cannot reconcile the claim using available evidence.
- Do not automatically escalate solely because an LLM or statistical method labels a record unusual.

7. Example RAG Questions

- What policy section is relevant when the billed amount is more than twice the allowed amount?
- What should the auditor review when a claim has a large financial variance?
- Does this policy say that a statistical outlier proves the claim is incorrect?
- What evidence should be checked before escalating a billing variance?

RAG Retrieval Tags

Suggested search terms: billing variance, billed amount, allowed amount, 2x allowed, financial variance, billed allowed ratio, supporting documentation, claim review, escalation